

AIPolitics 27: Republicans Told AI Companies Data Centers Are Poison. Shapiro Signed Their Recommended Policy the Same Day.

Two documents, both dated August 18, 2026. One is a private memo asking an industry to repair its own brand. The other makes Pennsylvania the hardest place in America to build a data center. Set them



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This beat continues to fascinate me. The writers' room for this part of our politics has been busy, coming up with dramatic swings and big developments left and right. Heh, literally left and right.

On Tuesday afternoon in Harrisburg, Governor Josh Shapiro signed [Executive Order 2026-05](#) and told the room that Pennsylvania now has the strictest guardrails in the country on AI data centers.

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The same day, someone at the National Republican Senatorial Committee finished a memo headed “Ohio Data Center Risk” and sent it to the largest AI companies in the world. Alex Isenstadt and Maria Curi got hold of it and Axios posted the whole thing Wednesday morning.

One is a Democratic governor with an obvious interest in 2028. The other is the campaign arm of Senate Republicans. Nobody thinks they coordinated. But put the NRSC’s recommended message next to Shapiro’s operative text and the Republicans have described the Democrat’s executive order and called it the winning position.

The mechanism is more interesting than the adjective

Most coverage of Tuesday’s order ran with “strictest in the nation” and moved on. The order does something more specific than strict.

Under Section 1, any data center project drawing more than 25 megawatts now runs through one of two doors. Through the first door, a developer signs a notice of intent to comply with Shapiro’s GRID Requirements, sits down with the Department of Environmental Protection, and executes a project-specific Consent Order and Agreement with penalties in it. That developer gets rolling review. Through the second door, a developer who refuses gets no rolling review, no permits until every application is in and read, and expulsion from two separate permit-acceleration programs.

Both doors open onto the same wall. DEP will not issue a permit, and for the timing programs will not even start the clock, until the applicant documents that the project is consistent with the local comprehensive plan and has cleared every local and municipal zoning approval. Shapiro put it in one sentence from the podium: “if the local community doesn’t approve a project, the state won’t approve it either.”

The rest is housekeeping with teeth. Nondisclosure agreements are impermissible for any agency under the governor's jurisdiction, which ends the practice of a developer refusing to tell a township which tech company will occupy the building. Data centers come off the Fast Track permitting program and can't get back on. The Department of Revenue has to rewrite the sales-tax exemption guidelines so that a developer who won't sign the consent order loses the break. And the governor's new Special Counsel for Energy Affordability is sent to the Public Utility Commission to argue for tariffs that cut data centers off *first* in a grid emergency. Ahead of every other customer. Utilities would also be barred from classifying a data center as critical load, which is the designation that would otherwise protect it.

Shapiro said the operative word out loud: "these are not voluntary standards."

Both parties are arguing about one piece of paper

"Voluntary" is pointed, and its target sits in the whereas clauses of the order itself:

the Ratepayer Protection Pledge that seven of the largest artificial intelligence companies have signed as of the effective date of this Executive Order, in which they commit to "Building, Bringing, or Buying New Power Supply," and to paying for all new power infrastructure upgrades required to deliver electricity to their data centers, among other commitments, is non-binding

President Trump announced the Ratepayer Protection Pledge in the State of the Union and signed it at the White House on March 4 with Amazon, Google, Meta, Microsoft, OpenAI, Oracle, and xAI. The companies committed to build, bring, or buy all the new electricity their American data centers need, and to cover the grid upgrades. On July 23

the administration expanded it: 55 utilities, 106 energy cooperatives, 28 data center developers, and 23 governors, all of them Republicans.

Mike DeWine signed for Ohio. So did Kay Ivey, Brian Kemp, Jeff Landry, Greg Abbott, and eighteen others.

Shapiro didn't, and Mara Hoplamazian reported for NOTUS that his office says he was never asked. Neither was Wes Moore. Both had been party to an earlier White House agreement on this same subject. The July expansion went to Republicans only.

So: in March, seven AI companies promise the White House they'll pay for their own power. In July, the administration recruits twenty-three governors to the same promise and leaves the two Democrats out. In August, the governor who wasn't invited writes the promise into a legal instrument, states in the operative document that the original version can't be enforced, and attaches penalties.

Shapiro didn't reject the pledge's substance. He took the commitments in it and converted the thing from a press release into a consent decree.

The people who built the pledge understood this distinction perfectly well at the time and thought the voluntary version was the point. The Taxpayers Protection Alliance praised "the voluntary nature of today's pledge" as "a welcome and sensible approach." David Sacks, the White House AI and crypto advisor, framed it as the alternative to prohibition: a "much better approach to affordability than Bernie Sanders' total ban on new data centers."

The NRSC memo runs that same contrast five months later, against the same foil. By then, well, it isn't working.

The Republicans' recommended message is the Democrat's executive order

Now the memo. One page, and whoever wrote it had a headache.

Jon Husted and Sherrod Brown, it says, are in a dead heat. Brown has put three television ads on the air, spent millions, and bought more than six thousand points of television, which the memo calls more than a month of messaging during the most critical stretch of the race. The narrator in one of those ads calls Husted “the face of data centers in Ohio.” Internal polling shows the attack outperforming conventional messaging because it introduces new information on an emerging topic. The memo’s phrase for what data centers have become in Ohio is “the anchor hanging around Husted’s neck,” and its phrase for what they’ll be everywhere else is “a sleeper issue for the entire election cycle.”

Then the admission:

Campaigns or party committees can not fix the toxic brand of an entire segment of the economy.

A national party committee, in writing, telling the largest companies in the world that the party can’t solve this and the industry has to. Not a request for money. A request for message help. The companies “that need these projects built have to fix how Ohioans see them: who benefits, who pays, and why a community should want one.”

And under the heading OUR MESSAGE, the NRSC tells its own candidates what wins:

By overwhelming margins, the American people prefer a Republican candidate who wants to only let data centers be built in communities that approve them by a local vote of the people, and that pay for their own power, water, and other utilities versus a Democrat candidate who wants to stop data center construction altogether

Read that against Executive Order 2026-05.

Data centers built only in communities that approve them: Section 1(b)(2)(b), which bars DEP from issuing any permit before the applicant proves it has every local and municipal approval. Paying for their own power and utilities: Section 3(b), which assigns interconnection costs to the data centers. Including when one goes insolvent and somebody has to eat the backstop auction bill. Under the order, it isn't the other ratepayers.

The two aren't identical. "A local vote of the people" sounds like a referendum. Shapiro's order defers to whatever a municipality's existing process produces, which in Pennsylvania usually means a zoning hearing board or a council, not a ballot question. Whether that difference matters depends on what you think voters are actually asking for. If they want the referendum specifically, Shapiro has handed them something narrower. If they want somebody local to be able to say no, the two documents deliver the same thing through different plumbing.

Either way, the Senate Republican campaign arm polled the country, found the winning position, put it in a memo to Amazon and OpenAI, and a Democratic governor signed a version of it that Tuesday.

The memo's foil is a Democrat "who wants to stop data center construction altogether." Shapiro is not that Democrat, and he spent a chunk of his remarks saying so. He announced the \$20 billion Amazon investment fourteen months ago. He talked Tuesday about landing Eli Lilly in the Lehigh Valley. His complaint is with speculators, not with the industry: most of the hundred-plus Pennsylvania proposals, he said, "lack detailed plans, have insufficient financing, don't have access to the electricity they actually need to build these centers, and have no agreement with a tech company to use the space."

A sitting governor describing his state's share of the AI buildout as mostly vapor, from a podium, with the permit data in front of him. That's less a regulatory posture than a solvency assessment.

Husted was in the room in March, saying it was solved

Go back to the White House on March 4 and look at who the administration put on the record praising the pledge. One of them is the junior senator from Ohio.

What you're offering today with... the Ratepayer Protection Pledge, Mr. President, is great leadership because this solves the problem the people were worried about, and as the data centers build new power plants, it leads to energy stability — affordable, reliable electricity for American ratepayers, helping them win the affordability battle.

That was Jon Husted in March. *This solves the problem the people were worried about.*

Five months later his party's Senate campaign committee wrote a memo saying the problem is not solved, that it may cost him his seat, and that only the companies can fix it.

And Husted himself has moved. Two days before the memo, Sarah Donaldson of the Statehouse News Bureau asked him about data centers. His answer:

They've earned that backlash.

He went on: the companies haven't been forthcoming about benefits, and they haven't offered to do things like pay the energy bills of the communities hosting their power plants. He now thinks the statewide sales and use tax break for new data center construction, which he backed, should stop being awarded. Then Donaldson asked about jurisdiction. The federal government has little business here, he said. The state has "a little bigger role." And "local governments and local residents are the ones that should make those choices."

Which is Shapiro's sentence with the party labels swapped.

The tax detail is the sharpest overlap. In the same fortnight, a Republican Senate candidate proposed ending Ohio's data center sales-tax exemption and a Democratic governor conditioned Pennsylvania's on signing an enforceable agreement. Same lever. Two men who agree on very little, reaching for it in the same month.

Brown moved too, and further. He spent a decade welcoming Amazon Web Services to central Ohio before he made data centers his campaign; Donaldson dug up the old press release. Everybody in this fight has changed position, and everybody changed recently.

Ohio and Wisconsin are answering different questions

Why does data center backlash convert into votes in some places and evaporate in others? Wisconsin has been the confusing case all month. Francesca Hong ran on a data center moratorium and lost her primary; David Crowley won by 3,211 votes without running against them. If the backlash were as potent as everyone claimed, the moratorium candidate should have done better than she did.

Ohio supplies the missing variable, and the NRSC's own polling states it plainly. Voters break heavily for the candidate who wants local approval and cost-shifting protections over the candidate who wants to stop construction. Brown isn't running on a ban. He's running on *blame*, and on Husted's name being attached to what Brown puts at 230 or 240 projects and \$2.5 billion in tax subsidies. The project count checks out; Ohio has roughly 240 data centers built or planned.

Attacking data centers works. Proposing to prohibit them doesn't.

The backlash converts as an accountability question, not as a policy demand. Voters punish the politician who brought the thing. Stopping

the next one earns much less credit, which is a strange asymmetry until you notice it's how voters treat most infrastructure they didn't ask for. Hong offered Wisconsin a remedy. People wanted somebody to answer for it instead, and in Ohio, Brown had a name ready.

Ohio is already testing the other half of this. DeWine signed the pledge in July and pointed to the state's new tariff for American Electric Power, which makes large new data centers pay for at least 85% of the electric capacity they contract for. That's the "pay their own way" plank, in force, at the regulator, before the memo was written. Husted is still eight down. Fixing the cost allocation hasn't bought the party anything, which is roughly what you'd predict if the thing moving voters is blame rather than policy.

Which explains Shapiro. He is Ohio's Husted in a state that votes two years later, the man who stood at a podium in June 2025 and announced twenty billion dollars in Salem Township and Falls Township. Somebody is going to cut that ad. On Tuesday he made the second half of it harder to write.

Whether he made the first half easier to defend is a different question, and he hasn't answered it. Not yet anyway.

The brake in this story has a foot on it, and the foot belongs to a township

Last week's piece was about 1,376 (important) people inside the frontier labs asking Washington for a brake on AI development, and Mark Zuckerberg arguing that Meta and its peers should hold it themselves. The trouble in that story was custody. Everybody wanted a mechanism to slow things down; nobody could say whose hand belonged on the lever; the only hands anywhere near it belonged to people who never stand for election.

Data centers are the same fight one floor down, where that problem is already solved.

The brake on the physical layer of AI is zoning. Comprehensive plans, subdivision ordinances, the Pennsylvania Municipalities Planning Code, a borough council meeting on a weeknight. Shapiro cited Article VI, Section 619.2 of a 1968 statute as his authority for making state permitting wait on local approval. Nobody had to stand up a new agency, negotiate a treaty, design a verification protocol, or convince a foreign government to join anything, because the lever was already bolted to the wall and had been for fifty-eight years, getting pulled on warehouses and gas stations and the occasional quarry.

Take Shapiro's Archbald example. Six data center campuses, fifty-one warehouses, proposed in a single borough of 7,500 residents across seventeen square miles. He walked the left field line at Eddy Staback Park to see where a developer wanted to build. That is a governance dispute an ordinary person can hold in their head and vote on. Try that with a compute threshold.

So the AI safety argument has a brake with no agreed operator, and the AI infrastructure argument has a brake with thousands of operators and no coordination among them. Opposite failure modes. Which one produces better outcomes isn't obvious to me, and the people most confident about compute governance rarely mention township supervisors.

Where this could be wrong

The order is cheap. Shapiro conceded from the podium that no AI data centers are running in Pennsylvania right now and only five hold the permits they'd need to start. His own order puts DEP's application count at twenty facilities. Imposing the nation's strictest regime on an industry that hasn't physically arrived costs a governor almost nothing today.

The bill comes due when Amazon's Salem Township campus needs something.

The memo is a leak, and leaks have owners. The NRSC benefits from this document being public: it pressures AI companies to spend on advertising that helps Husted without the committee paying for it, and it pre-assigns blame for a loss. It also opens by calling the race a "dead heat" and closes by calling Ohio a toss-up. That was five days after Fox News published a survey putting Brown ahead 53 to 45, a margin its authors noted had not moved since June. In a state Trump carried by eleven. The strategic claims in that document are advocacy. The polling *findings* about data centers deserve more weight, precisely because they're unflattering to the committee's own candidate.

The convergence could be coincidence. Local control and cost allocation are the two obvious handles on this problem, and two operations reaching for them in the same week may just mean the handles are obvious. I can't rule that out. The same-day timing and the shared vocabulary about who pays make me think both camps are reading similar numbers, but similar numbers would produce similar answers without anyone converging on anything.

And Ohio may really be about inflation. Forty percent of Ohioans told Fox that inflation is their top issue, and the thing connecting data centers to that anxiety is the electric bill, which means the whole effect could be a cost-of-living effect wearing a technology costume, in which case it moves when prices move and the durable political object here was never the building at all. That's the version I'd bet against, but not heavily.

Eighty percent of American electricity, covered by nothing

By the White House's own accounting, the Ratepayer Protection Pledge now covers eighty percent of the power delivered to American homes

and businesses and “protects 263 million Americans when a data center is built nearby.” It binds no one who signed it. Shapiro’s order binds thoroughly and reaches one state where the industry it regulates hasn’t switched anything on yet.

At an AI summit the same week the pledge expanded, Energy Secretary Chris Wright called the backlash “noise” and said it’s “not going to slow the progress of artificial intelligence.”

Gallup had run the numbers three months earlier. Seventy-one percent of Americans oppose building an AI data center in their local area, 48% of them strongly. In the same survey, 53% opposed a nuclear power plant in their area. Americans would rather have the reactor.

The party crosstab is the reason neither side is defending these things. Majorities of Democrats, independents *and* Republicans oppose. Strong opposition runs 56% among Democrats and 39% among Republicans, which is a real gap, but there’s no coalition anywhere in that table for the pro-data-center position. Jeffrey Jones wrote the obvious conclusion into the piece on May 13: politicians who favor data centers in their area “are likely taking a politically risky stance.”

It took the NRSC until August to put that in writing, and they sent it to the companies instead of their candidates.

If Husted loses and data centers get the blame, every governor and state legislator in the country gets a demonstration, and it won’t be about compute thresholds or model evaluations or any of the things Washington has spent the year arguing over. It’ll be about a borough of 7,500 people saying no, and about the fact that saying no turned out to be within their authority the whole time.

Ain’t politics great?

The companies were told this week that a party committee can't fix their brand for them. Nobody has told them who can.

If this one was useful, restack it for somebody who thinks AI policy happens in Washington.

Sacred Cow BBQ runs on curiosity and caffeine. If you'd like to keep the grill hot, buy me a coffee.

From the series:

- [AIPolitics 26: 1,376 AI Insiders Want a Brake on The Machine](#) — the custody problem, one layer up, where nobody can find an operator
- [Sacred Cow Politics 16.5: The Part\(s\) I Got Wrong about Wisconsin](#) — where I first noticed that the moratorium candidate underperformed
- [Sacred Cow Politics 16: The \(Democratic\) Party Didn't Ask. Dana Perino Did.](#) — Francesca Hong, the remedy candidate
- [AIPolitics 25: The Model Hacked Its Own Exam](#) — the software layer, where the governance is improvised
- [Higher Ed Is Slowing Its AI Transition. The Brake Has People In It.](#) — the same brake question in a sector that already pulled it

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